

Net SGST Reimbursement for EV Manufacturing

DRAFT FOR REVIEW | SCHEME | D037

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Haryana's Electric Vehicle Policy, 2022 provides a net SGST incentive for qualifying EV manufacturers. It should be distinguished from [general industrial SGST investment support](#) and [textile investment subsidy in lieu of net SGST](#).

The EV policy links the benefit to qualifying manufacturers and the defined net-SGST deposit, with a stated period and fixed-capital limit. It also includes a specific alternative for certain cases where cash-ledger SGST is low or the project has an inverted-duty position. That alternative needs its own scheme interpretation; it is not a general tax-refund entitlement.

Keep the tax base and investment base separate

GST collected from customers, total GST liability and the relevant net SGST deposit are different figures. Reconcile the claim-year returns, cash and credit ledgers, tax payments and eligible-unit turnover before preparing a subsidy amount. The fixed-capital schedule serves a different purpose: establishing the investment ceiling and applicable project category.

The policy states that a unit taking its [EV capital-subsidy benefit](#) cannot take this specified net-SGST benefit. The financing plan should compare the permitted options and document the chosen treatment.

Evidence for review

Prepare GST returns and ledgers, reconciled financial statements, product and manufacturing details, site and registration records, commercial-production dates and earlier incentive orders. If one GST registration covers several units or activities, explain the attribution to the qualifying unit rather than using the registration-wide tax total without analysis.

A current application must follow the implementing scheme and relevant annual filing instructions. Paying GST does not replace the incentive application, and a state incentive claim does not alter the tax return obligations.

Is this a refund application under GST law?

It is a state-policy incentive question with its own conditions. Ordinary tax refunds and corrections should be handled through their appropriate tax process.

Policy source and application status

The [notified Haryana Electric Vehicle Policy, 2022](#) establishes this assistance category. Its stated five-year period and the existence of a policy provision do not establish that a particular application slot remains available. Check the operative scheme notification, amendments and departmental application instructions before committing expenditure on the expectation of support.

Discuss the next step

For help assessing the project and preparing the applicable subsidy work, see [Subsidy & Incentive Advisory](#).

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[Discuss your project](#). An expert consultant from Rapid will call you.

Source links

Links retained from this manuscript. Consult the referenced authority for current requirements; the PDF drafting date does not establish that a source remains current.

1. notified Haryana Electric Vehicle Policy, 2022

<https://beeindia.gov.in/sites/default/files/Haryana.pdf>